

THE COMPLETE SMALL BUSINESS STARTER KIT

LLC Formation, Tax Guide, Bookkeeping System & Financial Templates for New Entrepreneurs

By Daniel Tesfamariam

This workbook provides the essential legal, financial, and operational frameworks you need to launch your business the right way from Day 1.

Use this as your step-by-step guide to handle the 'business side' of your business -- so you can focus on what you do best.

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TABLE OF CONTENTS

Chapter 1: Choosing Your Business Structure	3
Chapter 2: Business Banking & Finances	13
Chapter 3: Tax Essentials for New Businesses	19
Chapter 4: Bookkeeping System Setup	31
Chapter 5: Pricing Your Services/Products	41
Chapter 6: Legal Essentials & Contracts	49
Chapter 7: Business Planning & First 90 Days	57
Bonus: Quick-Reference Resources	67

CHAPTER 1: CHOOSING YOUR BUSINESS STRUCTURE

Your business structure determines how you pay taxes, your personal liability, and how much paperwork you deal with. Get this right early -- changing later is expensive and complicated.

Sole Proprietorship vs LLC vs S-Corp: Comparison

SOLE PROPRIETORSHIP

- Cost to form: \$0 (just start working)
- Personal liability: UNLIMITED - your personal assets are at risk
- Taxes: Report on Schedule C of personal return
- Self-employment tax: 15.3% on ALL net profit
- Complexity: Lowest - no state filings required
- Best for: Side hustles under \$20K/year, testing a business idea

LLC (Limited Liability Company)

- Cost to form: \$50-\$500 depending on state
- Personal liability: LIMITED - business assets are separate
- Taxes: Default pass-through (Schedule C) or elect S-Corp
- Self-employment tax: 15.3% on net profit (unless S-Corp election)
- Complexity: Moderate - annual state filings, operating agreement
- Best for: Any business earning \$5K+/year or with liability risk

S-CORPORATION (S-Corp Election)

- Cost to form: LLC cost + \$0 to file Form 2553 with IRS
- Personal liability: LIMITED
- Taxes: Pay yourself a 'reasonable salary' + take distributions
- Self-employment tax: Only on salary portion (not distributions)
- Complexity: Highest - payroll, corporate tax return (Form 1120S)
- Best for: Businesses netting \$50K+ profit after expenses

Quick Comparison Table Summary

FEATURE:	SOLE PROP	LLC	S-CORP
----- ----- ----- -----			
Formation Cost	\$0	\$50-\$500	\$50-\$500
Liability Protect	None	Yes	Yes
SE Tax Savings	No	No	Yes
Payroll Required	No	No	Yes
Annual Filings	Schedule C	Schedule C	Form 1120S
Best If Revenue	Under \$20K	\$5K-\$50K	Over \$50K
Complexity Level	Very Low	Low-Medium	High

Separate Tax Rtn	No	No	Yes
Ownership Flexible	N/A	Very	Restricted
State Fees/Year	\$0	\$0-\$800	\$0-\$800

BOTTOM LINE: Start with an LLC. It gives you liability protection with minimal complexity. Consider S-Corp election once net profit exceeds \$50K.

When to Form an LLC: Decision Criteria

Form an LLC NOW if ANY of the following apply:

- You have (or expect) revenue over \$5,000/year
- You work with clients face-to-face or at their location
- You sell physical products (liability risk)
- You sign contracts worth \$1,000+
- You want to open a business bank account or credit card
- You hire contractors or employees
- Your industry has lawsuit risk (consulting, fitness, events)
- You want to appear more professional to clients

WAIT on the LLC if:

- You are just testing an idea with zero revenue
- Your only 'business' is occasional freelance under \$3K/year
- You have zero assets to protect

State-by-State LLC Cost Overview

LLC formation costs vary dramatically by state. Here are key examples:

LOW COST STATES (Under \$100)

- Kentucky: \$40 filing fee
- Arkansas: \$45 filing fee
- Mississippi: \$50 filing fee
- Arizona: \$50 filing fee
- Michigan: \$50 filing fee
- Colorado: \$50 filing fee
- Iowa: \$50 filing fee

MODERATE COST STATES (\$100-\$200)

- Florida: \$125 filing fee
- Ohio: \$99 filing fee
- Texas: \$300 filing fee
- Georgia: \$100 filing fee
- North Carolina: \$125 filing fee
- Pennsylvania: \$125 filing fee
- Virginia: \$100 filing fee

HIGH COST STATES (\$200+)

- California: \$70 filing + \$800/year franchise tax (minimum!)
- Massachusetts: \$500 filing fee
- Illinois: \$150 filing + \$75 annual report
- New York: \$200 filing + \$200-\$1500 publication requirement
- Nevada: \$75 filing + \$150 business license + \$200 annual list

TIP: Some people form in Wyoming (\$100, no state income tax, strong privacy) even if they live elsewhere. However, you may still need to register as a 'foreign LLC' in your home state, adding cost.

S-Corp Election: Deep Dive

The S-Corp election is the most powerful tax savings tool for profitable LLCs. Here is exactly how it works:

HOW S-CORP TAX SAVINGS WORK:

Without S-Corp (regular LLC making \$120K profit):

Net profit: \$120,000
Self-employment tax (15.3%): \$18,360
Income tax (24% bracket): \$28,800
Total tax: ~\$47,160

With S-Corp election (same \$120K profit):

Reasonable salary: \$60,000 (payroll taxes apply)
Payroll taxes on salary (15.3%): \$9,180
Distribution (not subject to SE tax): \$60,000
Income tax on all \$120K (24%): \$28,800
Total tax: ~\$37,980

TAX SAVINGS: \$9,180 per year!

REQUIREMENTS FOR S-CORP:

- Must pay yourself a 'reasonable salary' (IRS watches this closely)
- Must run payroll (use Gusto \$40/mo or QuickBooks Payroll \$45/mo)
- Must file Form 1120S annually (separate corporate return)
- File Form 2553 with IRS to elect (deadline: March 15 of tax year)

THE BREAK-EVEN POINT:

S-Corp makes financial sense when NET profit exceeds \$50,000-\$60,000. Below that, the extra costs (payroll service, corporate tax return) eat up the savings. Above that, savings grow with every dollar.

S-CORP COST-BENEFIT WORKSHEET:

Your net profit: \$ _____
Reasonable salary (50-60% of profit): \$ _____

SE tax savings (15.3% x distribution): \$ _____
Minus: Payroll service cost (~\$600/yr): \$ _____
Minus: Extra CPA fees (~\$500-\$1,000/yr): \$ _____
NET ANNUAL SAVINGS: \$ _____

If net savings are \$3,000+, the S-Corp election is worth it.

Step-by-Step LLC Formation Checklist (10 Steps)

- STEP 1: Choose your state of formation
Most people should form in the state where they live/operate.
- STEP 2: Choose your LLC name
Must include 'LLC' or 'Limited Liability Company.'
Search your state's business database to confirm availability.
Check domain name availability and social media handles.
- STEP 3: Designate a registered agent
This is the person/company that receives legal mail for your LLC.
You can be your own agent (free) or use a service (\$50-\$300/year).
- STEP 4: File Articles of Organization
Submit to your Secretary of State (online in most states).
Processing time: 1-10 business days (expedited available).
- STEP 5: Get your EIN (Employer Identification Number)
Free from IRS.gov - takes 5 minutes online.
You need this for bank accounts, hiring, and tax filing.
- STEP 6: Create your Operating Agreement
Required in some states, recommended in ALL states.
Defines ownership percentages, profit distribution, and decision-making.
- STEP 7: Open a business bank account
Bring your Articles of Organization, EIN letter, and photo ID.
- STEP 8: Get required licenses and permits
Check city, county, and state requirements for your industry.
- STEP 9: Set up your bookkeeping system
Start tracking income and expenses from Day 1 (see Chapter 4).
- STEP 10: Understand your tax obligations
Register for state/local taxes if required. Set up quarterly payments.

Registered Agent: Explained

A registered agent receives legal and government documents on behalf of your LLC. Every LLC must have one.

OPTION A: Be Your Own Registered Agent (Free)

- Must have a physical street address (no PO boxes)
- Must be available during business hours to receive documents
- Your home address becomes public record
- Best for: People who work from home and want to save money

OPTION B: Use a Registered Agent Service (\$50-\$300/year)

- Keeps your home address private
- Never miss a legal notice (they forward everything)
- Required if you form in a state different from where you live
- Popular services: Northwest (\$125/yr), LegalZoom (\$299/yr), Incfile (\$119/yr)

EIN Application Walkthrough

Your EIN is like a Social Security Number for your business.
It is FREE and takes about 5 minutes to get online.

How to Apply:

- Go to: irs.gov/businesses/small-businesses-self-employed/apply-for-an-ein
- Click 'Apply Online Now'
- Select 'Limited Liability Company' as entity type
- Enter number of members (1 for single-member LLC)
- Select your state and reason for applying
- Enter the responsible party name (you) and SSN
- Choose how to receive your confirmation (online = instant)
- SAVE/PRINT your EIN confirmation letter immediately!

IMPORTANT: You can only apply Monday-Friday, 7am-10pm Eastern.
If the system is down, try again the next business day.

Operating Agreement Essentials

Even for a single-member LLC, an Operating Agreement protects you by proving your business is truly separate from you personally.

Must-Include Sections:

- LLC name, address, and formation date
- Names of all members and their ownership percentages
- Capital contributions (how much each member invested)
- Profit and loss distribution rules
- Management structure (member-managed vs. manager-managed)
- Voting rights and decision-making process
- Rules for adding or removing members
- What happens if a member dies or wants to leave
- Dissolution procedures

- Amendment process

For single-member LLCs, this can be a simple 2-3 page document.

Templates are available free online, or have an attorney draft one (\$200-\$500).

Business Name Selection Guide

Your business name is a crucial decision. Consider these factors:

NAMING CHECKLIST:

- ☐ Easy to spell and pronounce
- ☐ Memorable and unique
- ☐ Available as a .com domain (check GoDaddy or Namecheap)
- ☐ Available on social media platforms (Instagram, Facebook, TikTok)
- ☐ Not trademarked by another business (search USPTO.gov)
- ☐ Not already registered in your state (check Secretary of State)
- ☐ Does not limit future growth (avoid overly specific names)
- ☐ Works well in a logo and on business cards

NAMING STRATEGIES:

- Your Name + What You Do: 'Smith Marketing Solutions'
- Descriptive: 'QuickBooks Consulting Group'
- Invented Word: 'Solventis Consulting'
- Metaphor: 'Lighthouse Financial Planning'
- Acronym: Keep it meaningful, not random letters

NAMES TO AVOID:

- Names too similar to competitors (confusion + legal risk)
- Trendy spellings that are hard to find in search
- Very long names (hard to fit on cards, invoices, signs)
- Geographic names that limit expansion ('Portland Web Design')
- Names with negative connotations in other languages

MY TOP 3 NAME OPTIONS:

1. _____
Domain available? ___ Social available? ___ State available? ___
2. _____
Domain available? ___ Social available? ___ State available? ___
3. _____
Domain available? ___ Social available? ___ State available? ___

YOUR ACTION ITEMS - Chapter 1

-
- ☐ Decide: Sole Proprietorship, LLC, or S-Corp?
 - ☐ Research your state's LLC filing cost and process

- [] Choose your business name and check availability
- [] Decide: Be your own registered agent or hire a service?
- [] File Articles of Organization with your state
- [] Apply for your EIN at [irs.gov](https://www.irs.gov) (free, 5 minutes)
- [] Draft or download an Operating Agreement
- [] Save all formation documents in a secure folder

CHAPTER 2: BUSINESS BANKING & FINANCES

Why Separate Personal and Business Accounts

This is NON-NEGOTIABLE. Mixing personal and business money:

- Destroys your liability protection (courts can 'pierce the corporate veil')
- Makes tax time a nightmare (sorting transactions = hours of wasted time)
- Triggers IRS red flags during audits
- Makes it impossible to know if your business is actually profitable
- Prevents you from getting business loans or credit

THE RULE: Every dollar in, every dollar out goes through your business account.
Pay yourself a regular 'owner's draw' transfer to your personal account.

Business Bank Account Comparison Worksheet

When comparing banks, evaluate these factors:

FACTOR 1: Monthly Fees

- Many banks charge \$10-\$30/month for business checking
- Some waive fees with minimum balance (\$1,500-\$5,000)
- Online banks (Relay, Mercury, Novo) often have \$0 monthly fees

FACTOR 2: Transaction Limits

- Some banks limit free transactions (200-500/month)
- Excess transactions may cost \$0.25-\$0.50 each
- Consider your expected volume when choosing

FACTOR 3: Integration

- Does it connect to QuickBooks, Wave, or your accounting software?
- Does it offer Zelle, ACH transfers, or wire capabilities?
- Can you deposit checks via mobile app?

FACTOR 4: Cash Deposits

- If you handle cash, you need a bank with local branches
- Online-only banks cannot accept cash deposits

TOP RECOMMENDATIONS:

- Budget-friendly online: Relay (free), Mercury (free), Novo (free)
- Traditional with branches: Chase Business Complete (\$15/mo), Wells Fargo
- Best for cash businesses: Chase or local credit union

Opening Your Business Account: Checklist

Bring these documents to the bank (or upload for online banks):

- [] Articles of Organization (stamped/filed copy from your state)
- [] EIN confirmation letter from the IRS
- [] Operating Agreement
- [] Government-issued photo ID (driver's license or passport)
- [] Proof of business address (utility bill or lease)
- [] Initial deposit (some banks require \$25-\$100 minimum)

TIMELINE: Most accounts are open same day (in person) or 1-3 days (online).

Business Credit Card Strategy

A business credit card builds business credit history (separate from personal) and earns rewards on expenses you are already paying.

WHEN TO GET ONE:

- After your LLC is formed and bank account is open
- When you have predictable monthly expenses (\$500+)
- When you can pay the balance in full every month

STARTER CARDS (Easier Approval):

- Chase Ink Business Cash: 2% on gas/dining, 5% on office supplies
- Capital One Spark Cash: Flat 2% cash back on everything
- American Express Blue Business Cash: 2% on first \$50K/year

RULES FOR USING BUSINESS CREDIT CARDS:

- ONLY use for legitimate business expenses
- Pay balance in full every month (never carry a balance)
- Never mix personal purchases on your business card
- Keep receipts for every transaction over \$75
- Set up autopay for at least the minimum payment

Setting Up a Simple Bookkeeping System

You do NOT need expensive software to start. Here is your system:

OPTION A: Spreadsheet (Free - Good for Under \$50K Revenue)

- Google Sheets or Excel
- Track: Date, Description, Category, Amount, Income/Expense
- Reconcile with bank statement monthly
- See Chapter 4 for complete templates

OPTION B: Wave Accounting (Free Software)

- Free invoicing, receipt scanning, financial reports
- Connects to your bank for automatic transaction import
- Best for: Service businesses with simple needs

OPTION C: QuickBooks Self-Employed (\$15/month)

- Automatic expense categorization
- Mileage tracking
- Quarterly tax estimate calculations
- Best for: Businesses growing toward \$100K+ revenue

YOUR ACTION ITEMS - Chapter 2

-
- ☐ Open a dedicated business checking account
 - ☐ Set up a system to track every business transaction
 - ☐ Stop using personal accounts for any business expenses
 - ☐ Apply for a business credit card (after 1-2 months of revenue)
 - ☐ Schedule a monthly 'money date' to review finances
 - ☐ Set up a separate savings account for taxes (30% of profit)

Business Savings Strategy: The Multi-Account System

Top-performing small businesses use multiple accounts to manage cash flow:

ACCOUNT 1: OPERATING (Main Business Checking)

- All revenue deposits go here first
- Pay all business expenses from this account
- Keep 1-2 months of operating expenses as buffer

ACCOUNT 2: TAX SAVINGS

- Transfer 30% of every deposit immediately
- Do NOT touch this money for anything except tax payments
- Use a separate savings account (Relay lets you create multiple)
- This eliminates the 'surprise tax bill' problem forever

ACCOUNT 3: PROFIT / OWNERS PAY

- Transfer 10-20% of revenue to this account
- This is YOUR pay -- transfer to personal account regularly
- Pay yourself on a consistent schedule (weekly or bi-weekly)

ACCOUNT 4: EMERGENCY FUND (Optional but Recommended)

- Build up to 3 months of business expenses
- Only use for genuine emergencies (equipment failure, slow month)
- Rebuild immediately after any withdrawal

EXAMPLE: You receive a \$5,000 client payment

- > \$1,500 to Tax Savings (30%)
- > \$750 to Profit/Owner's Pay (15%)
- > \$250 to Emergency Fund (5%)
- > \$2,500 stays in Operating (50%)

This system is based on the 'Profit First' method by Mike Michalowicz.
It guarantees you always have money for taxes and always pay yourself.

CHAPTER 3: TAX ESSENTIALS FOR NEW BUSINESSES

Taxes are the #1 reason new business owners get in trouble. This chapter gives you a clear system so you never face a surprise tax bill again.

Business Tax Types Explained

1. FEDERAL INCOME TAX

- What: Tax on your business profits (revenue minus expenses)
- Rate: Your personal tax bracket (10%-37% depending on total income)
- When: Filed with personal return by April 15
- Form: Schedule C (sole prop/single-member LLC) or Form 1120S (S-Corp)

2. SELF-EMPLOYMENT TAX

- What: Social Security (12.4%) + Medicare (2.9%) = 15.3%
- Who pays: All sole proprietors and LLC members
- Calculated on: Net profit from Schedule C
- Note: Employees split this with their employer. You pay BOTH halves.
- Silver lining: You can deduct 50% of SE tax on your 1040

3. STATE INCOME TAX

- What: State-level tax on business income
- Rate: Varies by state (0% in TX, FL, WY, NV, SD, WA, AK, NH, TN)
- Note: Some states have separate business taxes (CA franchise tax = \$800 min)

4. SALES TAX

- What: Tax collected from customers on taxable goods/services
- Rate: Varies by state and locality (0%-10%+)
- Your role: Collect from customers, then remit to state (monthly/quarterly)
- Register: Get a sales tax permit from your state's revenue department
- Note: Most services are NOT subject to sales tax (check your state)

5. QUARTERLY ESTIMATED TAX PAYMENTS

- What: Prepayments toward your annual tax bill
- Who: Anyone expecting to owe \$1,000+ in taxes for the year
- Penalty: Underpayment penalty if you don't pay quarterly
- Amount: Roughly 25-30% of net profit each quarter

Quarterly Estimated Tax Payment Schedule

The IRS requires quarterly payments. Miss these and you pay penalties.

2024-2025 DUE DATES:

- Q1 (Jan-Mar income): Due April 15
- Q2 (Apr-May income): Due June 15
- Q3 (Jun-Aug income): Due September 15
- Q4 (Sep-Dec income): Due January 15 (following year)

HOW TO CALCULATE YOUR QUARTERLY PAYMENT:

Method 1 - Simple (Best for Year 1):

- Take last quarter's net profit
- Multiply by 30% (covers income tax + SE tax for most people)
- That's your quarterly payment amount

Method 2 - Safe Harbor (Best for Year 2+):

- Pay 100% of LAST year's total tax liability, divided by 4
- (110% if your AGI was over \$150,000)
- This guarantees zero underpayment penalties regardless of this year's income

QUARTERLY TAX WORKSHEET:

- Gross revenue this quarter: \$ _____
- Minus business expenses: \$ _____
- = Net profit this quarter: \$ _____
- x 30% (tax rate estimate): \$ _____
- = Amount to pay IRS this quarter: \$ _____

PAY ONLINE: irs.gov/payments > Direct Pay or EFTPS.gov

Use Form 1040-ES voucher if paying by mail

Tax Deduction Master Checklist

Every deduction saves you 25-40 cents per dollar depending on your bracket.
Track ALL of these. A missed \$500 deduction = \$150+ in extra taxes.

HOME OFFICE EXPENSES

- Percentage of rent/mortgage (based on square footage)
- Percentage of utilities (electric, gas, water, internet)
- Home insurance (proportional)
- Home repairs/maintenance (proportional)
- Office furniture and equipment
- Dedicated phone line

VEHICLE & TRAVEL

- Mileage (67 cents/mile for 2024) OR actual car expenses
- Parking and tolls for business trips
- Flights, hotels, rental cars for business travel
- 50% of business meals while traveling

- Uber/Lyft for business transportation

OFFICE & SUPPLIES

- Computer, laptop, tablet
- Printer, scanner, paper, ink
- Desk, chair, monitor, keyboard
- Software subscriptions (Adobe, Microsoft, etc.)
- Postage and shipping supplies
- Business phone and phone plan

PROFESSIONAL SERVICES

- Accountant/CPA fees
- Attorney fees (business-related)
- Bookkeeper fees
- Business consultant or coach
- Virtual assistant

MARKETING & ADVERTISING

- Website hosting and domain names
- Social media advertising (Facebook, Instagram, Google ads)
- Business cards and printed materials
- Email marketing tools (Mailchimp, ConvertKit)
- SEO tools and services
- Photography for products/branding
- Graphic design (Canva Pro, Fiverr designers)

EDUCATION & DEVELOPMENT

- Online courses related to your business
- Books and publications (business/industry related)
- Conferences and workshops
- Professional certifications
- Coaching programs

INSURANCE & FINANCIAL

- Business liability insurance
- Professional liability (E&O) insurance
- Business property insurance
- Health insurance premiums (self-employed deduction)
- Business loan interest
- Bank fees and merchant processing fees

EMPLOYEES & CONTRACTORS

- Wages paid to employees
- Contractor payments (anyone paid \$600+ gets a 1099)
- Payroll taxes (employer portion)

- Employee benefits
- Workers' compensation insurance

STARTUP COSTS (First Year Only)

- LLC filing fees and legal setup costs
- Market research
- Pre-opening advertising
- Training before opening
- Up to \$5,000 deductible immediately; rest amortized over 15 years

MISCELLANEOUS DEDUCTIONS PEOPLE MISS:

- Interest on business credit cards
- State and local business taxes paid
- Business gifts (\$25 max per person per year)
- Moving expenses for business relocation
- Bad debts (invoices you could not collect)
- Retirement plan contributions (SEP IRA, Solo 401k)
- Half of self-employment tax (deducted on Form 1040)
- Business use of personal cell phone (% of bill)
- Co-working space or cafe expenses for working
- Equipment repairs and maintenance

TOTAL POTENTIAL DEDUCTIONS: \$_____ (add up all categories above)

AT 30% TAX RATE, THESE DEDUCTIONS SAVE YOU: \$ _____

ACTION: Review this list monthly and check off what you have tracked.

Missing even one category could cost you hundreds or thousands in extra tax.

Home Office Deduction Calculator

You qualify if you have a dedicated space used REGULARLY and EXCLUSIVELY for business. A corner of your bedroom counts if it's only for work.

METHOD 1: Simplified Method (Easy)

- \$5 per square foot of home office space
- Maximum 300 square feet = \$1,500 maximum deduction
- No need to track actual home expenses

METHOD 2: Regular Method (Potentially Larger Deduction)

- Calculate your home office percentage:

Office square footage: _____ sq ft

Total home square footage: _____ sq ft

Office percentage: _____ % (office / total x 100)

- Apply that percentage to these expenses:

Rent or mortgage interest: \$ _____ x _____ % = \$ _____

Utilities (electric, gas): \$ _____ x ____ % = \$ _____
 Internet: \$ _____ x ____ % = \$ _____
 Renters/home insurance: \$ _____ x ____ % = \$ _____
 Repairs/maintenance: \$ _____ x ____ % = \$ _____
 TOTAL HOME OFFICE DEDUCTION: \$ _____

Vehicle/Mileage Deduction Tracker

You can deduct business miles. Commuting does NOT count, but driving to:

- Client meetings, job sites, or customer locations
- Office supply stores (for business purchases)
- Bank (for business deposits)
- Post office (for business shipments)
- Networking events, conferences

2024 STANDARD MILEAGE RATE: \$0.67 per mile

MONTHLY MILEAGE LOG:

Date | Destination | Purpose | Miles

Total Business Miles This Month: _____

x \$0.67 = Deduction This Month: \$ _____

TIP: Use the MileIQ app (\$5.99/mo) or Stride (free) for automatic tracking.

Understanding Tax Brackets (2024)

Your tax bracket applies to your TOTAL income (business + any W-2 jobs):

SINGLE FILERS:

\$0 - \$11,600: 10%
 \$11,601 - \$47,150: 12%
 \$47,151 - \$100,525: 22%
 \$100,526 - \$191,950: 24%
 \$191,951 - \$243,725: 32%
 \$243,726 - \$609,350: 35%
 Over \$609,350: 37%

MARRIED FILING JOINTLY:

\$0 - \$23,200: 10%
 \$23,201 - \$94,300: 12%
 \$94,301 - \$201,050: 22%

\$201,051 - \$383,900: 24%
\$383,901 - \$487,450: 32%
\$487,451 - \$731,200: 35%
Over \$731,200: 37%

IMPORTANT: Tax brackets are MARGINAL. You only pay the higher rate on income ABOVE each threshold. Example: Single filer earning \$60,000 pays 10% on first \$11,600 + 12% on next \$35,550 + 22% on the remaining \$12,850. Effective rate is about 15%, not 22%.

YOUR ESTIMATED TAX RATE:

Total expected income (all sources): \$ _____
Filing status: Single / Married / HoH
Estimated federal bracket: _____ %
+ Self-employment tax: 15.3%
+ State income tax: _____ %
= TOTAL EFFECTIVE TAX RATE: approximately _____ %

For most new business owners in the \$40K-\$100K range, plan for 25-35% total tax rate. Setting aside 30% is a safe default.

Record-Keeping Requirements

The IRS can audit you up to 3 years back (6 years if income underreported).
Keep these records:

- Receipts for all expenses over \$75 (photo/scan is fine)
- Bank and credit card statements (all months)
- Invoices you sent to clients
- Contracts and agreements
- Mileage logs
- Home office measurements and calculations
- Asset purchase records (computers, equipment)
- 1099 forms received and sent
- Prior year tax returns

HOW LONG TO KEEP RECORDS:

- Tax returns: 7 years (forever is better)
- Supporting documents: 3-7 years
- Employment records: 4 years after tax is due
- Asset records: Keep until 3 years after you dispose of the asset

When to Hire a CPA vs. DIY

DO IT YOURSELF IF:

- Single-member LLC with straightforward income

- Revenue under \$75,000
- No employees (only contractors)
- No inventory
- You are comfortable with numbers
- Tools: TurboTax Self-Employed (\$120) or FreeTaxUSA (\$15)

HIRE A CPA IF:

- Revenue over \$75,000 (tax savings from strategy usually exceed CPA cost)
- You have employees or complex contractor arrangements
- You want to elect S-Corp status
- You have inventory or multiple revenue streams
- You received an IRS notice or are being audited
- You just don't want to deal with it (your time has value too)

WHAT A CPA COSTS:

- Annual tax preparation: \$300-\$800 for simple business returns
- Monthly bookkeeping: \$200-\$500/month
- Tax planning session: \$200-\$500 one-time
- S-Corp setup + payroll: \$1,000-\$2,000/year

TIP: Even if you DIY your taxes, pay for a one-time 'tax planning session' with a CPA in your first year. The strategies they suggest often save you 5-10x what the session costs.

YOUR ACTION ITEMS - Chapter 3

-
- [] Set up a savings account and auto-transfer 30% of revenue for taxes
 - [] Mark quarterly tax due dates on your calendar (Apr 15, Jun 15, Sep 15, Jan 15)
 - [] Print and use the tax deduction checklist - review monthly
 - [] Start a mileage log today (app or paper)
 - [] Measure your home office and calculate the deduction
 - [] Set up a receipt capture system (folder, app, or scanner)
 - [] Decide: DIY taxes or hire a CPA this year?
 - [] If Year 1: Schedule a tax planning consultation (\$200-\$500)

CHAPTER 4: BOOKKEEPING SYSTEM SETUP

Good bookkeeping takes 15-30 minutes per week. Bad bookkeeping (or none) costs you hours during tax time and thousands in missed deductions.

This chapter gives you a complete system. Use it.

Chart of Accounts (Your Expense Categories)

A 'chart of accounts' is simply the list of categories you sort transactions into. Here is a starter template for most small businesses:

INCOME ACCOUNTS:

- 4100 - Service Revenue (client payments for services)
- 4200 - Product Sales (physical or digital products)
- 4300 - Affiliate/Commission Income
- 4400 - Other Income (refunds received, interest, etc.)

EXPENSE ACCOUNTS:

- 5100 - Advertising & Marketing
- 5200 - Office Supplies & Equipment
- 5300 - Software & Subscriptions
- 5400 - Professional Services (CPA, attorney, VA)
- 5500 - Travel & Transportation
- 5600 - Meals (50% deductible)
- 5700 - Insurance
- 5800 - Education & Training
- 5900 - Bank Fees & Merchant Processing
- 6000 - Home Office Expenses
- 6100 - Contractor Payments
- 6200 - Cost of Goods Sold
- 6300 - Phone & Internet
- 6400 - Rent (if applicable)
- 6500 - Miscellaneous

Monthly Income Tracker

Record every dollar that comes into your business:

MONTH: _____ YEAR: _____

Date	Client/Source	Description	Amount	Category
----- ----- ----- ----- -----				
_____	_____	_____	_____	_____

TOTAL INCOME THIS MONTH: \$ _____

Year-to-Date Income: \$ _____

Monthly Expense Tracker (Categorized)

MONTH: _____ YEAR: _____

Date | Vendor/Payee | Description | Amount | Category

-----|-----|-----|-----|-----

EXPENSE SUMMARY BY CATEGORY:

Advertising & Marketing: \$ _____

Office Supplies: \$ _____

Software & Subscriptions: \$ _____

Professional Services: \$ _____

Travel & Transportation: \$ _____

Education & Training: \$ _____

Other: \$ _____

TOTAL EXPENSES: \$ _____

Profit & Loss Statement Template

Complete this monthly. It tells you if you are actually making money.

PROFIT & LOSS STATEMENT

Period: _____ to _____

REVENUE:

Service Revenue: \$ _____
Product Sales: \$ _____
Other Income: \$ _____

TOTAL REVENUE: \$ _____

EXPENSES:

Advertising & Marketing: \$ _____
Office Supplies & Equipment: \$ _____
Software & Subscriptions: \$ _____
Professional Services: \$ _____
Travel & Transportation: \$ _____
Insurance: \$ _____
Education & Training: \$ _____
Contractor Payments: \$ _____
Home Office: \$ _____
Phone & Internet: \$ _____
Bank & Processing Fees: \$ _____
Other Expenses: \$ _____

TOTAL EXPENSES: \$ _____

NET PROFIT (Revenue - Expenses): \$ _____

Profit Margin: _____% (Net Profit / Revenue x 100)

Is your profit margin above 20%? If not, review expenses for cuts.

Cash Flow Worksheet

Profit does not equal cash. This tracks actual money in your bank:

MONTH: _____

Starting bank balance (1st of month): \$ _____

MONEY IN:

Client payments received: \$ _____
Product sales received: \$ _____
Other deposits: \$ _____
Total Money In: \$ _____

MONEY OUT:

Business expenses paid: \$ _____
Owner's draw (pay to yourself): \$ _____
Tax payments: \$ _____
Loan/debt payments: \$ _____
Total Money Out: \$ _____

Ending bank balance (end of month): \$ _____

Net cash change this month: \$ _____

GOAL: Keep at least 2 months of expenses as a cash buffer.

Your target buffer: \$ _____

Annual Financial Calendar

Use this to stay ahead of financial deadlines all year:

WEEKLY (Every Friday - 15 minutes):

- Review bank balance and recent transactions
- Categorize any uncategorized transactions
- Send outstanding invoices
- Follow up on overdue payments

MONTHLY (Last day of month - 30 minutes):

- Complete full bank reconciliation
- Run Profit & Loss report
- Complete Cash Flow worksheet
- Transfer tax savings (30% of net profit)
- Review budget vs. actual spending
- File all receipts

QUARTERLY (Before the 15th - 1 hour):

- Calculate and pay estimated taxes
- Review year-to-date P&L
- Adjust spending or pricing if off track
- Update cash flow projections for next quarter

ANNUALLY (January - 2-3 hours):

- Prepare all documents for tax filing
- Send 1099s to contractors
- Review previous year performance
- Set financial goals for new year
- Meet with CPA (if applicable)
- Review and update pricing

Invoice Best Practices

Getting paid on time starts with professional invoicing:

EVERY INVOICE SHOULD INCLUDE:

- Your business name, address, and contact info
- Invoice number (sequential: INV-001, INV-002, etc.)

- Invoice date and due date
- Client name and address
- Detailed description of services/products
- Quantity, rate, and line item totals
- Total amount due
- Payment methods accepted
- Late payment terms (e.g., 1.5% per month after 30 days)

TIPS TO GET PAID FASTER:

- Send invoices immediately upon completion (not 'when you get around to it')
- Set payment terms to Net 15 (not Net 30 - shorter = faster payment)
- Offer multiple payment options (bank transfer, credit card, PayPal)
- Require 50% deposit before starting work
- Send automatic reminders at 7 days, 14 days, and 30 days overdue
- Offer a 2% discount for payment within 5 days ('2/5 Net 15')
- Stop work on any account 30+ days overdue until paid

OVERDUE PAYMENT SCRIPT:

'Hi [Name], I hope you are well. I wanted to follow up on Invoice #[number] for \$[amount], which was due on [date]. Could you let me know when I can expect payment? I am happy to resend the invoice or set up a payment plan if that would be helpful. Thanks!'

Receipt Organization System

You need to save receipts for any expense over \$75 (best practice: save all). Here is a simple system that works:

DIGITAL SYSTEM (Recommended):

- Take a photo of every receipt immediately after purchase
- Save to a dedicated folder: Business Receipts > [Year] > [Month]
- Name files: YYYY-MM-DD_Vendor_Amount (e.g., 2024-03-15_Staples_47.99)
- Tools: Google Drive (free), Dext (\$20/mo), QuickBooks receipt capture

FOLDER STRUCTURE:

Business Receipts/
 2024/
 01-January/
 02-February/
 03-March/
 ... (etc.)
 Tax Returns/
 Bank Statements/
 Contracts/

WHAT TO SAVE:

- The receipt must show: date, vendor name, amount, items purchased
- For meals: write the business purpose and who attended on the receipt
- For mileage: keep your log (date, destination, purpose, miles)

End-of-Month Bookkeeping Checklist

Set aside 30 minutes on the last day of each month to complete this:

- ☐ Download bank and credit card statements
- ☐ Categorize all transactions (use your chart of accounts)
- ☐ Match receipts to transactions (flag missing receipts)
- ☐ Record any cash transactions
- ☐ Send invoices for any outstanding payments
- ☐ Follow up on overdue invoices (30+ days)
- ☐ Complete the Profit & Loss statement
- ☐ Complete the Cash Flow worksheet
- ☐ Transfer tax savings (30% of net profit) to tax savings account
- ☐ File receipts into monthly folder
- ☐ Note any unusual items to discuss with CPA
- ☐ Review: Am I on track for quarterly tax payment?

YOUR ACTION ITEMS - Chapter 4

-
- ☐ Set up your chart of accounts (copy the list above)
 - ☐ Create your receipt storage system (digital folder or app)
 - ☐ Schedule 30 minutes monthly for bookkeeping (calendar it!)
 - ☐ Print or copy the P&L and Cash Flow templates
 - ☐ Categorize last month's transactions as practice
 - ☐ Set up automatic bank statement downloads

CHAPTER 5: PRICING YOUR SERVICES/PRODUCTS

Most new business owners underprice by 30-50%. This chapter gives you concrete formulas and frameworks to price with confidence.

Cost-Based Pricing Calculator

At minimum, your price must cover your costs + profit margin.

FOR PRODUCTS:

Cost of materials/ingredients: \$ _____
Packaging and shipping materials: \$ _____
Labor (your time x hourly rate): \$ _____
Platform fees (Etsy, Shopify, etc): \$ _____
Payment processing (2.9% + \$0.30): \$ _____
Overhead allocation: \$ _____

TOTAL COST PER UNIT: \$ _____
x Desired markup (2.5x - 4x): x _____
= YOUR PRICE: \$ _____

RULE OF THUMB: Minimum 2.5x markup for physical products.
If your product costs \$10 to make, price it at \$25-\$40.

FOR SERVICES:

Your desired annual income: \$ _____
+ Annual business expenses: \$ _____
+ Taxes (30% of income): \$ _____
+ Profit margin (20%): \$ _____
= Total revenue needed: \$ _____
/ Billable hours per year (1,000-1,500): _____
= YOUR MINIMUM HOURLY RATE: \$ _____

Value-Based Pricing Framework

Cost-based pricing is your FLOOR. Value-based pricing is your CEILING.
Price based on the value you create, not the time you spend.

ASK THESE QUESTIONS:

- What is this worth to my client? (Revenue gained, time saved, pain avoided)
- What would they pay someone else for this? (Market rate)
- What is the cost of NOT solving this problem? (Opportunity cost)
- How much money/time will my solution save them?

VALUE-BASED PRICING FORMULA:

Value you create for client: \$ _____

Your price (10-30% of value): \$ _____

EXAMPLE: A website that generates \$50,000/year in new business is worth \$5,000-\$15,000 to build -- not \$1,500 based on hours.

EXAMPLE: A tax strategy that saves a client \$8,000/year is worth \$800-\$2,400 as a consulting fee.

Competitor Pricing Research Worksheet

Research 5 competitors to understand the market. Fill in:

Competitor 1: _____

Their price: \$ _____ What's included: _____

Their positioning (budget/mid/premium): _____

Competitor 2: _____

Their price: \$ _____ What's included: _____

Their positioning (budget/mid/premium): _____

Competitor 3: _____

Their price: \$ _____ What's included: _____

Their positioning (budget/mid/premium): _____

Competitor 4: _____

Their price: \$ _____ What's included: _____

Their positioning (budget/mid/premium): _____

Competitor 5: _____

Their price: \$ _____ What's included: _____

Their positioning (budget/mid/premium): _____

Market average price: \$ _____

Market range: \$ _____ (low) to \$ _____ (high)

My target positioning: Budget / Mid-range / Premium (circle one)

My planned price: \$ _____

Hourly Rate Calculator (Desired Income Method)

If you offer services, this calculates your minimum viable hourly rate:

STEP 1: What do you want to earn per year (take-home)?

Desired take-home pay: \$ _____

STEP 2: Add your business costs

Annual business expenses: \$ _____

Health insurance (if self-paying): \$ _____
Retirement savings (15% of income): \$ _____
Taxes (30% of gross): \$ _____

STEP 3: Calculate gross revenue needed

Total of all above: \$ _____

STEP 4: Determine billable hours

Hours per week you can bill clients: _____
Weeks per year (subtract vacation): _____
x Utilization rate (70-80%): x 0.____
= Actual billable hours per year: _____

STEP 5: Your minimum hourly rate

Gross revenue needed / billable hours = \$ _____ /hour

EXAMPLE:

Want to earn \$75,000 take-home
+ \$10,000 expenses + \$8,000 insurance + \$11,250 retirement + \$31,275 taxes
= \$135,525 gross revenue needed
/ 1,200 billable hours (30hrs/wk x 50wks x 80%)
= \$113/hour minimum rate

Raising Your Prices: Scripts & Templates

You should raise prices at least once per year. Here is how:

WHEN TO RAISE PRICES:

- You are booked 80%+ of available time
- It has been 12+ months since last increase
- Your skills/results have improved significantly
- Your costs have increased (inflation)
- You are the cheapest option in your market

EMAIL SCRIPT FOR EXISTING CLIENTS:

Subject: Update to pricing effective [Date - 30 days from now]

Hi [Name],

I hope you are doing well! I wanted to give you advance notice that my rates will be updating effective [date].

My new rate for [service] will be \$[new price] (currently \$[old price]).
This reflects [reason: expanded expertise/increased demand/annual adjustment].

For existing clients like you, I am happy to honor current pricing through [date] or for any projects booked before [date].

Please let me know if you have any questions. I truly value our working relationship and look forward to continuing to serve you.

Best,
[Your name]

TIPS:

- Give 30 days notice minimum
- 10-20% increase annually is normal and expected
- Never apologize for raising prices
- If no one complains, you probably are not charging enough
- You will lose some clients -- that is okay and expected

YOUR ACTION ITEMS - Chapter 5

-
- [] Complete the cost-based pricing calculator for your offer
 - [] Research 5 competitors and fill in the worksheet
 - [] Calculate your minimum hourly rate using the desired income method
 - [] Decide your pricing tier: Budget, Mid-range, or Premium?
 - [] If already in business: Schedule a price increase for next quarter
 - [] Create 2-3 pricing tiers/packages for your services

Creating Service Packages & Tiers

Offering tiered pricing increases average order value by 25-40%:

THREE-TIER PRICING MODEL:

TIER 1 - BASIC (Entry Point)

Name: _____

Price: \$ _____

Includes:

- _____
- _____
- _____

Timeline: _____

TIER 2 - STANDARD (Most Popular - Your Target)

Name: _____

Price: \$ _____ (1.5-2x Basic)

Includes everything in Basic, PLUS:

- _____
- _____
- _____

Timeline: _____

TIER 3 - PREMIUM (High-Touch)

Name: _____

Price: \$ _____ (2-3x Basic)

Includes everything in Standard, PLUS:

- _____

- _____

- _____

Timeline: _____

PRICING PSYCHOLOGY TIPS:

- Most people will choose the middle option (that is your real target)
- The expensive option makes the middle seem reasonable
- End prices in 7 or 9 (\$497, \$997, \$2,497) for perceived value
- Name your packages (don't just say 'Basic/Standard/Premium')
- Highlight the middle tier as 'Most Popular' or 'Best Value'

Pricing Mistakes to Avoid

- 1. PRICING BY THE HOUR when you should price by the project
(Hourly pricing penalizes you for getting faster/better)
- 2. MATCHING THE CHEAPEST COMPETITOR
(You can't compete on price and quality - choose quality)
- 3. GIVING DISCOUNTS instead of adding value
(Add a bonus worth \$X instead of cutting your price by \$X)
- 4. NOT RAISING PRICES annually
(Inflation alone means you earn less each year if prices stay flat)
- 5. LETTING CLIENTS SET YOUR PRICE
(Never ask 'what's your budget?' before presenting your rate)
- 6. UNDERVALUING because of imposter syndrome
(You don't need 10 years experience to charge professional rates)

CHAPTER 6: LEGAL ESSENTIALS & CONTRACTS

You do not need a law degree to protect your business. But you DO need basic contracts, proper licenses, and an understanding of your obligations.

Business Licenses & Permits Checklist

Requirements vary by industry, city, county, and state. Check ALL levels:

FEDERAL LEVEL:

- Most businesses: No federal license needed
- Exceptions: Alcohol, firearms, aviation, broadcasting, transportation

STATE LEVEL:

- ☐ State business license or registration
- ☐ Sales tax permit (if selling taxable goods/services)
- ☐ Professional license (if applicable - see below)
- ☐ Home occupation permit (if working from home)

CITY/COUNTY LEVEL:

- ☐ City business license (\$25-\$200/year typically)
- ☐ Zoning permit (especially for home-based businesses)
- ☐ Sign permit (if you have a physical storefront)
- ☐ Health permit (food businesses)
- ☐ Fire department permit (if applicable)

INDUSTRIES REQUIRING PROFESSIONAL LICENSES:

- Real estate agents and brokers
- Contractors and construction trades
- Cosmetologists and barbers
- Financial advisors and insurance agents
- Healthcare providers
- Accountants and CPAs
- Attorneys
- Childcare providers
- Food service and catering

HOW TO FIND REQUIREMENTS: Search '[Your State] business license requirements' or contact your city clerk's office. SBA.gov also has a license finder tool.

Basic Service Agreement Template

Every service provider needs a written agreement. Here is the structure:

SERVICE AGREEMENT

This Agreement is entered into on [Date] between:

Provider: [Your Business Name LLC]

Client: [Client Name/Business]

1. SERVICES: [Detailed description of what you will deliver]
2. TIMELINE: [Start date, milestones, completion date]
3. COMPENSATION: [Total fee, payment schedule, payment method]
4. REVISIONS: [Number included, cost of additional revisions]
5. OWNERSHIP: [Who owns the final work product and when]
6. TERMINATION: [How either party can end the agreement]
7. CONFIDENTIALITY: [Both parties agree to keep info private]
8. LIABILITY: [Limit your liability to the amount paid]
9. DISPUTE RESOLUTION: [Mediation before litigation, governing state]
10. SIGNATURES: [Both parties sign and date]

Client Contract: 10 Must-Have Clauses

Never start work without these clauses in writing:

- 1. SCOPE OF WORK - Exactly what you will (and will NOT) deliver
Why: Prevents 'scope creep' where clients ask for more and more
- 2. PAYMENT TERMS - Amount, schedule, accepted methods, late fees
Standard: 50% deposit upfront, 50% on completion
Late fee: 1.5% per month on overdue invoices
- 3. TIMELINE & DEADLINES - When you will deliver each milestone
Include: 'Timeline assumes client provides feedback within X days'
- 4. REVISION POLICY - How many rounds included, cost of extras
Example: '2 rounds of revisions included. Additional revisions \$X/hour'
- 5. INTELLECTUAL PROPERTY - Who owns what and when
Standard: Client owns final deliverables upon full payment
- 6. TERMINATION CLAUSE - How to end the contract early
Include: Kill fee (25-50% of remaining balance)
- 7. CONFIDENTIALITY - Both sides keep business info private
Protects your processes AND their business information
- 8. LIABILITY LIMITATION - Cap your exposure
Standard: 'Liability limited to total fees paid under this agreement'
- 9. FORCE MAJEURE - Protection against uncontrollable events
Covers: Natural disasters, pandemics, government actions
- 10. DISPUTE RESOLUTION - How to handle disagreements

Best: 'Binding mediation in [Your State] before any litigation'

Non-Disclosure Agreement (NDA) Overview

An NDA protects confidential information shared between parties.

WHEN YOU NEED AN NDA:

- Before discussing proprietary business ideas with potential partners
- When hiring contractors who will access sensitive information
- When a client shares confidential business data with you
- Before sharing your trade secrets with potential investors

KEY NDA ELEMENTS:

- Definition of confidential information (be specific)
- Obligations of receiving party (must protect, cannot share)
- Exclusions (public info, independently developed info)
- Term/duration (typically 2-5 years)
- Remedies for breach (injunctive relief, damages)

TIP: Use mutual NDAs (both sides are bound) whenever possible.
One-sided NDAs where only you are restricted can be unfair.

Terms of Service Basics

If you have a website or sell online, you need Terms of Service (ToS):

- Acceptable use policy (what users can/cannot do)
- Intellectual property rights (your content is protected)
- Limitation of liability (limit your legal exposure)
- Disclaimer of warranties (no guarantees of specific results)
- Refund/return policy (be clear and specific)
- Privacy policy (required by law if you collect any data)
- Governing law (which state's laws apply)

TOOLS: Termly.io (\$15/mo) and TermsFeed generate compliant policies.
For custom terms, budget \$500-\$1,500 for an attorney.

When You Need a Lawyer vs. Can DIY

YOU CAN DIY:

- LLC formation (online filing with your state)
- Basic service agreements (use templates + customize)
- Simple NDAs (mutual, standard terms)
- Registering trademarks (straightforward names via USPTO.gov)
- Basic terms of service (generator tools)
- Standard independent contractor agreements

HIRE A LAWYER FOR:

- Partnership/operating agreements with multiple members
- Investor agreements or taking on partners
- Employment law issues (hiring employees, terminations)
- Contracts worth \$10,000+ (the cost of a mistake is too high)
- Intellectual property disputes
- Real estate leases (commercial)
- Government regulatory compliance
- If you receive a demand letter or lawsuit threat

WHAT LAWYERS COST:

- Contract review: \$200-\$500 per document
- Contract drafting: \$500-\$2,000 per document
- Trademark filing: \$500-\$1,500 (plus USPTO fees)
- General consultation: \$200-\$500/hour
- Flat-fee packages: Some offer 'startup bundles' (\$1,500-\$5,000)

TIP: LegalZoom, Rocket Lawyer, and LawDepot offer affordable templates (\$30-\$100) that are better than nothing but less protective than custom.

YOUR ACTION ITEMS - Chapter 6

-
- [] Research licenses/permits required for your industry and location
 - [] Create or download a basic service agreement for your business
 - [] Add the 10 must-have clauses to your contract
 - [] Create a privacy policy for your website (if applicable)
 - [] Set up a contract template you can quickly customize per client
 - [] Budget \$500-\$1,000 for legal needs in your first year

Independent Contractor Agreement Essentials

If you hire freelancers or subcontractors, you **MUST** have a written agreement. Without one, the IRS may reclassify them as employees (expensive!).

CONTRACTOR AGREEMENT MUST INCLUDE:

- Contractor is an independent business (not an employee)
- Contractor controls HOW and WHEN work is done
- Contractor uses own tools/equipment
- Contractor can work for other clients
- Payment terms (per project, hourly, or retainer)
- No benefits provided (no health insurance, PTO, etc.)
- Contractor responsible for own taxes
- Work product ownership (who owns what they create)
- Confidentiality clause
- Termination terms

EMPLOYEE vs. CONTRACTOR (IRS TESTS):

The IRS uses these factors to determine classification:

LOOKS LIKE EMPLOYEE: | LOOKS LIKE CONTRACTOR:

-----|-----

Set schedule required	Flexible hours
You provide tools/equipment	They use own tools
Ongoing relationship	Project-based
You control how work is done	They control the method
They work only for you	Multiple clients
You provide training	Already skilled
Paid hourly/salary	Paid per project

PENALTY FOR MISCLASSIFICATION: Back payroll taxes + penalties + interest.
Can cost 40-50% of what you paid them. Get this right.

Payment Collection System

Getting paid is the most important part of running a business.
Set up these systems BEFORE you start working with clients:

PAYMENT STRUCTURE OPTIONS:

Option A - DEPOSIT + FINAL (Most Common for Services)

- 50% deposit before work begins
- 50% due upon completion/delivery
- Best for: Projects under \$5,000

Option B - MILESTONE-BASED (Best for Large Projects)

- 25% deposit at contract signing
- 25% at first milestone (e.g., draft delivered)
- 25% at second milestone (e.g., revisions complete)
- 25% at final delivery
- Best for: Projects over \$5,000

Option C - RETAINER (Best for Ongoing Relationships)

- Client pays fixed monthly fee in advance (due 1st of month)
- Includes set number of hours or deliverables
- Overages billed at agreed hourly rate
- Best for: Marketing, consulting, maintenance services

Option D - PAY IN FULL UPFRONT (Best for Products/Low-Touch Services)

- Full payment before delivery
- Offer a small discount (5-10%) for paying in full
- Best for: Courses, templates, productized services

PAYMENT METHODS TO ACCEPT:

- Bank transfer / ACH (free or \$0.25): Best for large payments
- Credit card via Stripe/Square (2.9% + \$0.30): Best for convenience
- PayPal (2.9% + \$0.30): Best for international clients
- Zelle (free): Best for local, trusted clients
- Check (free but slow): Avoid if possible

LATE PAYMENT POLICY (Put this in EVERY contract):

'Invoices are due within 15 days. A late fee of 1.5% per month (18% annually) will be applied to all overdue balances. Work will be paused on accounts more than 30 days overdue until payment is received.'

Protecting Your Intellectual Property

TRADEMARK (Protects Brand Names, Logos, Slogans)

- What: Your business name, logo, tagline, product names
- Cost: \$250-\$350 per class to file with USPTO
- Timeline: 8-12 months for approval
- Duration: Lasts indefinitely if renewed every 10 years
- DIY: File at USPTO.gov (straightforward for simple names)

COPYRIGHT (Protects Creative Works)

- What: Written content, photos, videos, courses, designs
- Cost: \$45-\$65 to register with Copyright Office
- Note: Copyright exists automatically when you create something
- Why register: Allows you to sue for damages if someone copies you

TRADE SECRET (Protects Business Methods)

- What: Recipes, formulas, processes, client lists
- Cost: \$0 (just keep it secret and use NDAs)
- Protection: Use non-disclosure agreements with everyone who sees it

PRIORITY: Trademark your business name once you have revenue and commitment to the name. Do not spend money on this during the 'testing' phase.

CHAPTER 7: BUSINESS PLANNING & FIRST 90 DAYS

You do not need a 40-page business plan. You need clarity on what you are selling, to whom, and how you will get your first customers. This chapter gives you that clarity plus a 90-day action plan.

One-Page Business Plan Template

Fill this out in 30 minutes. Revisit quarterly.

MY BUSINESS:

Business name: _____

What I sell: _____

In one sentence: I help [WHO] achieve [WHAT] by [HOW].

MY CUSTOMER:

Ideal customer description: _____

Their biggest problem/pain: _____

Where they hang out (online/offline): _____

What they have tried before: _____

What they are willing to pay: \$ _____

MY OFFER:

Core product/service: _____

Price: \$ _____

What makes me different: _____

Why someone would choose me over alternatives: _____

MY NUMBERS:

Revenue goal (Year 1): \$ _____

Number of customers needed: _____

Average sale value: \$ _____

Monthly expenses: \$ _____

Break-even point: _____ sales/month

MY MARKETING (Top 3 channels):

1. _____
2. _____
3. _____

30-60-90 Day Launch Plan

DAYS 1-30: FOUNDATION

Goal: Get your business legally set up and ready to sell.

- Week 1: Form LLC, get EIN, open business bank account
- Week 2: Set up bookkeeping system, create your service/product offer
- Week 3: Build basic online presence (website or social profiles)
- Week 4: Create your client contract, set prices, prepare invoicing

MILESTONE: You are legally operating and ready to accept payments.

DAYS 31-60: FIRST CUSTOMERS

Goal: Get your first 3-5 paying customers.

- Week 5: Reach out to 20 people in your network about your business
- Week 6: Ask for referrals, post on social media daily
- Week 7: Offer an introductory rate or beta pricing to first clients
- Week 8: Deliver great work, collect testimonials, ask for reviews

MILESTONE: You have revenue, testimonials, and proof of concept.

DAYS 61-90: SYSTEMS & GROWTH

Goal: Create repeatable systems so you can scale.

- Week 9: Document your processes (intake, delivery, follow-up)
- Week 10: Set up marketing system (content, outreach, or ads)
- Week 11: Raise prices to full rate, create packages/tiers
- Week 12: First monthly review - assess what is working, adjust

MILESTONE: Consistent lead flow, profitable pricing, clear systems.

First 10 Customers Acquisition Strategy

Your first customers almost NEVER come from ads or your website.

They come from relationships. Here is how to get your first 10:

STRATEGY 1: WARM OUTREACH (Customers 1-3)

- Make a list of 50 people who know you (friends, family, ex-coworkers)
- Send a personal message: 'Hey [Name], I just started [business]. I help [type of person] with [problem]. Do you know anyone who might need this? I would appreciate any introductions.'
- Do NOT hard-sell. Ask for referrals, not purchases
- Offer a 'friends and family' discount for your first few clients

STRATEGY 2: SOCIAL PROOF (Customers 4-6)

- Do 1-2 projects at a reduced rate in exchange for detailed testimonials
- Post case studies/results on social media and your website
- Ask happy clients to leave reviews and refer friends

STRATEGY 3: CONTENT & VISIBILITY (Customers 7-10)

- Share valuable tips in Facebook groups, Reddit, or LinkedIn
- Answer questions on Quora or industry forums
- Partner with complementary businesses for cross-referrals
- Attend local networking events or virtual meetups

TIMELINE: Most businesses can get their first 10 customers in 30-60 days using this approach. It requires effort, not money.

Building Your Online Presence (Week 3 Deep Dive)

You do NOT need a perfect website to launch. But you need SOMETHING. Here is the minimum viable online presence:

OPTION A: SIMPLE WEBSITE (1-2 Pages)

Platforms: Carrd.co (\$19/year), WordPress (\$4/mo), Squarespace (\$16/mo)

Your website needs ONLY these elements to start:

- Clear headline: What you do and who you help
- Brief description of your services/products (3-5 bullet points)
- 1-2 testimonials (even from beta clients or past colleagues)
- Your pricing or 'starting at' range
- Clear call to action (Book a Call, Get a Quote, Shop Now)
- Contact information (email, phone, or booking link)

OPTION B: SOCIAL MEDIA PROFILE (If No Budget)

- Optimize your LinkedIn/Instagram bio as a landing page
- Include: What you do, who you serve, how to hire you
- Pin a post with your services/pricing
- Use link-in-bio tools (Linktree, Stan Store) for multiple links

GOOGLE BUSINESS PROFILE (Free - Essential for Local Businesses)

- Claim your profile at business.google.com
- Shows up in Google Maps and local search results
- Add photos, services, hours, and your website link
- Collect Google Reviews from happy customers

IMPORTANT: Do not spend weeks perfecting your website before selling. A mediocre website with clients is better than a perfect website with none. Launch with 'good enough' and improve as you earn.

Client Onboarding Process Template

A smooth onboarding process makes you look professional and sets expectations. Use this template for every new client:

STEP 1: PROPOSAL/QUOTE (Day 1)

- Send detailed scope of work and pricing
- Include timeline, deliverables, and payment terms
- Set an expiration date (7-14 days)

STEP 2: CONTRACT SIGNING (Day 2-3)

- Send contract for e-signature (HelloSign, DocuSign)
- Include all terms discussed
- Request deposit payment upon signing

STEP 3: WELCOME & KICKOFF (Day 3-5)

- Send welcome email with next steps
- Share intake questionnaire or onboarding form
- Provide access to any shared tools/folders
- Schedule kickoff call if applicable

STEP 4: PROJECT EXECUTION (Ongoing)

- Regular check-ins at scheduled intervals
- Milestone updates and deliverables
- Request feedback at key stages

STEP 5: PROJECT COMPLETION (Final)

- Deliver final product/service
- Send final invoice
- Request testimonial and referrals
- Follow up 30 days later for future opportunities

TEMPLATE WELCOME EMAIL:

'Hi [Name]! Welcome aboard. I am thrilled to work with you on [project].

Here is what happens next:

1. Please complete this intake form: [link]
2. Our kickoff call is scheduled for [date/time]
3. You can expect [first deliverable] by [date]

If you have any questions before we start, just reply to this email.'

Revenue Goal Calculator

Work backward from your income goal to daily/weekly action targets:

ANNUAL REVENUE GOAL: \$ _____

/ 12 months = Monthly target: \$ _____

/ 4 weeks = Weekly target: \$ _____

Average revenue per customer: \$ _____

Customers needed per month: _____

Customers needed per week: _____

Conversion rate (leads to customers): _____ %

Leads needed per month: _____

Leads needed per week: _____

Leads needed per day: _____

EXAMPLE:

Goal: \$100,000/year

= \$8,333/month = \$2,083/week

Average sale: \$2,500

Need: 3.3 new clients/month

Conversion rate: 25% (1 in 4 leads becomes a client)

Need: 13 leads/month = 3-4 leads/week

Now you know: You need to have 3-4 sales conversations per week.

THAT is a manageable, actionable daily goal.

Monthly Business Review Template

Complete this on the first of each month (takes 20 minutes):

MONTH: _____ YEAR: _____

NUMBERS:

Revenue this month: \$ _____

Expenses this month: \$ _____

Net profit: \$ _____

New customers acquired: _____

Leads generated: _____

Conversion rate: _____ %

WINS (What went well?):

1. _____
2. _____
3. _____

CHALLENGES (What was hard?):

1. _____
2. _____
3. _____

LESSONS (What did I learn?):

1. _____
2. _____

NEXT MONTH PRIORITIES (Top 3):

1. _____

2. _____
3. _____

Key Metrics to Track

Track these numbers weekly. What gets measured gets improved.

FINANCIAL METRICS:

- Revenue (total money coming in)
- Profit margin (revenue - expenses / revenue)
- Average transaction value
- Cash in bank / runway (months of expenses covered)

SALES METRICS:

- Number of leads/inquiries
- Conversion rate (leads to paying customers)
- Customer acquisition cost (marketing spend / new customers)
- Average customer lifetime value

DELIVERY METRICS:

- Client satisfaction (ask for ratings)
- Repeat customer rate
- Referral rate (new clients from existing clients)
- Project completion time

SIMPLE TRACKING SYSTEM:

Create a spreadsheet with these columns, update weekly:

Week | Revenue | Expenses | Profit | Leads | New Clients | Notes

Marketing On a Budget: The 1-Hour-Per-Day Plan

You do not need thousands in ad budget. You need one hour of daily focus:

THE 1-HOUR MARKETING SYSTEM:

15 MINUTES: Social media content

- Post one valuable tip, behind-the-scenes, or client result
- Rotate platforms: Mon=LinkedIn, Tue=Instagram, Wed=Facebook, etc.
- Batch-create content on Sunday for the whole week

15 MINUTES: Engagement

- Comment on 5-10 posts from your ideal customers
- Reply to all comments and DMs on your content
- Join conversations in relevant groups/communities

15 MINUTES: Direct outreach

- Send 3-5 personalized messages to potential clients or referral partners
- Follow up with warm leads (people who showed interest)
- Check in with past clients for repeat business/referrals

15 MINUTES: Pipeline management

- Update your lead tracker (who is interested, what stage)
- Send proposals to qualified leads
- Send invoices and follow up on payments

CONTENT IDEAS WHEN YOU DO NOT KNOW WHAT TO POST:

- A tip that saved your client time or money
- A common mistake your ideal client makes
- Before/after results from your work
- A question you get asked frequently (answer it)
- Your process explained in 3-5 steps
- A testimonial or kind message from a client
- Something you learned this week in your industry
- A personal story about why you started your business

CONSISTENCY > PERFECTION. Posting 'good enough' content daily beats posting perfect content once a month. The algorithm rewards consistency.

Setting Up Systems That Scale

As you grow, you need systems so the business runs without your constant hands-on involvement. Start these early:

AUTOMATE THESE TASKS:

- Invoice sending: Auto-generate after project milestone (FreshBooks, Wave)
- Payment reminders: Automatic follow-up at 7, 14, 30 days overdue
- Appointment scheduling: Calendly or Acuity (no back-and-forth emails)
- Email responses: Create templates for common questions
- Social media: Schedule posts in advance (Buffer, Later, Hootsuite)
- Tax savings: Auto-transfer 30% of each deposit to savings

DOCUMENT THESE PROCESSES:

- Client onboarding (step-by-step)
- Service delivery workflow
- Quality check before delivery
- Client offboarding and follow-up
- Monthly bookkeeping routine
- Content creation and publishing

WHY: Documented processes let you hire help when you are ready.

A VA can follow your documented process without constant supervision.

WHEN TO HIRE YOUR FIRST HELP:

- You are consistently booked/busy (80%+ capacity)
- You are spending time on \$15/hour tasks instead of \$100/hour tasks
- Revenue supports the cost (hire when it pays for itself)
- Start with a contractor for 5-10 hours/week, not a full-time employee

FIRST HIRES TO CONSIDER:

- Virtual assistant (\$15-\$30/hr): Admin, email, scheduling
- Bookkeeper (\$25-\$50/hr): Monthly reconciliation, invoicing
- Social media manager (\$20-\$40/hr): Content creation, posting
- Specialist contractor: Graphic design, web dev, copywriting

YOUR ACTION ITEMS - Chapter 7

-
- [] Complete the one-page business plan (30 minutes)
 - [] Write your 'I help [WHO] achieve [WHAT] by [HOW]' statement
 - [] Make your list of 50 people for warm outreach
 - [] Calculate your revenue goal and daily action targets
 - [] Create your 30-60-90 day plan with specific weekly milestones
 - [] Schedule your first monthly business review
 - [] Set up a simple metrics tracking spreadsheet

Weekly Action Planner

Use this weekly planner to stay focused on revenue-generating activities:

WEEK OF: _____

REVENUE GOAL THIS WEEK: \$ _____

of Sales Conversations Needed: _____

MONDAY:

Top 3 priorities:

1. _____
2. _____
3. _____

Outreach/Follow-ups: _____

TUESDAY:

Top 3 priorities:

1. _____
2. _____
3. _____

Outreach/Follow-ups: _____

WEDNESDAY:

Top 3 priorities:

1. _____
2. _____
3. _____

Outreach/Follow-ups: _____

THURSDAY:

Top 3 priorities:

1. _____
2. _____
3. _____

Outreach/Follow-ups: _____

FRIDAY:

Top 3 priorities:

1. _____
2. _____
3. _____

Weekly review & next week planning: 30 min

END OF WEEK REVIEW:

Revenue earned: \$ _____

New leads: _____

New clients: _____

What worked: _____

What to change: _____

Common First-Year Mistakes to Avoid

- 1. Spending money before making money (fancy logos, website, office)
FIX: Get paying customers first. Invest profits back into the business.
- 2. Not tracking finances from Day 1
FIX: Set up bookkeeping the same day you form your LLC.
- 3. Trying to serve everyone instead of a specific niche
FIX: Pick one ideal customer. You can expand later.
- 4. Underpricing to 'get experience'
FIX: Charge at least 80% of market rate from Day 1. Add bonuses for value.
- 5. Not having a contract before starting work
FIX: No signature, no work. Protect yourself legally.
- 6. Ignoring marketing until you 'need' clients
FIX: Market consistently even when busy. Pipeline delays are real.

- 7. Doing everything yourself instead of outsourcing
FIX: If it is not revenue-generating or your expertise, delegate it.
- 8. Not setting boundaries with clients
FIX: Define scope, hours, and communication channels upfront.
- 9. Forgetting quarterly tax payments
FIX: Set calendar reminders 2 weeks before each due date.
- 10. Giving up after 90 days because results are slow
FIX: Most businesses take 6-12 months to stabilize. Stay consistent.

BONUS: QUICK-REFERENCE RESOURCES

Important Deadlines Calendar

JANUARY:

- Jan 15: Q4 estimated tax payment due (prior year Sep-Dec)
- Jan 31: Send 1099-NEC forms to contractors paid \$600+ last year
- Jan 31: Send W-2s to employees (if applicable)

MARCH:

- Mar 15: S-Corp tax return due (Form 1120S) or file extension

APRIL:

- Apr 15: Personal/LLC tax return due (or file extension)
- Apr 15: Q1 estimated tax payment due (Jan-Mar income)

JUNE:

- Jun 15: Q2 estimated tax payment due (Apr-May income)

SEPTEMBER:

- Sep 15: Q3 estimated tax payment due (Jun-Aug income)
- Sep 15: Extended S-Corp return due

OCTOBER:

- Oct 15: Extended personal/LLC return due

ANNUALLY (Check Your State):

- Annual LLC report/renewal (varies by state - check your due date)
- Business license renewal (usually anniversary of issue)
- Registered agent renewal (if using a service)

Business Expense Categories (IRS-Aligned)

These match the categories on Schedule C (Form 1040). Use these for your bookkeeping to make tax filing seamless:

- Line 8: Advertising
- Line 9: Car and truck expenses
- Line 10: Commissions and fees
- Line 11: Contract labor
- Line 12: Depletion
- Line 13: Depreciation

- Line 14: Employee benefit programs
- Line 15: Insurance (other than health)
- Line 16a: Mortgage interest
- Line 16b: Other interest
- Line 17: Legal and professional services
- Line 18: Office expense
- Line 19: Pension/profit-sharing plans
- Line 20a: Rent (vehicles, machinery)
- Line 20b: Rent (other business property)
- Line 21: Repairs and maintenance
- Line 22: Supplies
- Line 23: Taxes and licenses
- Line 24a: Travel
- Line 24b: Meals (50% deductible)
- Line 25: Utilities
- Line 26: Wages
- Line 27: Other expenses (list separately)
- Line 30: Business use of home

Glossary of Business Terms

- Accounts Payable (AP): Money you owe to vendors/suppliers
- Accounts Receivable (AR): Money clients owe you
- Articles of Organization: Document filed to create your LLC
- Break-even Point: When revenue = expenses (zero profit)
- Capital: Money or assets invested in the business
- Cash Flow: Movement of money in and out of your business
- COGS (Cost of Goods Sold): Direct costs to produce what you sell
- DBA (Doing Business As): A 'fictitious name' for your business
- Depreciation: Spreading the cost of an asset over its useful life
- EIN: Employer Identification Number (your business SSN)
- Gross Profit: Revenue minus cost of goods sold
- Gross Revenue: Total income before any expenses
- Liability: Legal responsibility for debts or obligations
- Net Profit: Revenue minus ALL expenses (the real bottom line)
- Operating Agreement: Internal rules document for an LLC
- Overhead: Ongoing costs not tied to specific products/services
- Pass-through Entity: Business where profits pass to owner's personal taxes
- Profit Margin: Net profit divided by revenue (expressed as %)
- Registered Agent: Person/company designated to receive legal documents
- Revenue: Total money received from business activities
- Schedule C: IRS form for reporting sole prop/LLC business income
- Self-Employment Tax: Social Security + Medicare tax for self-employed
- Sole Proprietorship: Unincorporated business owned by one person
- W-9: Form a client uses to request your tax ID (before paying you)
- 1099-NEC: Form reporting payments of \$600+ to non-employees

Recommended Tools & Software

ACCOUNTING & BOOKKEEPING:

- Wave (Free) - Best free option for beginners
- QuickBooks Self-Employed (\$15/mo) - Best for growing businesses
- FreshBooks (\$17/mo) - Best for service-based businesses

INVOICING:

- Wave (Free) - Unlimited invoices
- PayPal Business (Free to send, 2.9% to receive)
- Square Invoices (Free, 2.9% processing)

BANKING:

- Relay (Free) - Best free business banking
- Mercury (Free) - Best for online businesses
- Chase Business (\$15/mo) - Best if you need branches/cash deposits

TAX PREPARATION:

- FreeTaxUSA (\$15) - Best budget option
- TurboTax Self-Employed (\$120) - Guided, beginner-friendly
- Local CPA (\$300-\$800) - Best if revenue over \$75K

CONTRACTS & LEGAL:

- HelloSign (Free for 3 docs/mo) - E-signatures
- HoneyBook (\$16/mo) - Contracts, invoices, scheduling in one
- LegalZoom (varies) - LLC filing and legal templates

MILEAGE TRACKING:

- Stride (Free) - Basic mileage and expense tracking
- MileIQ (\$5.99/mo) - Automatic drive detection

PROJECT MANAGEMENT:

- Notion (Free) - All-in-one workspace
- Trello (Free) - Visual task boards
- Asana (Free for individuals) - Task and project tracking

Ask Your CPA These Questions (Preparation Sheet)

Before your first CPA meeting, have answers to these ready:

ABOUT YOUR BUSINESS:

- What type of business? (service, product, online, local)
- When did you start? (or plan to start)
- What is your expected revenue this year?

- Are you currently a sole prop or LLC?
- Do you have employees or only contractors?

QUESTIONS TO ASK YOUR CPA:

- Should I be an LLC or elect S-Corp status? At what income level?
- What deductions am I likely missing?
- How much should I set aside for quarterly taxes?
- Should I use the simplified or regular home office deduction?
- Standard mileage rate or actual expenses -- which is better for me?
- What records do I need to keep, and for how long?
- Are there any state-specific tax benefits I should know about?
- What is the best retirement account for my situation? (SEP IRA, Solo 401k)
- Can you explain my estimated quarterly tax payments?
- What triggers an audit, and how do I reduce my risk?
- What is the deadline for my specific tax situation?
- Do you offer a package for monthly bookkeeping + annual filing?

BRING TO YOUR MEETING:

- Prior year tax return (if available)
- Year-to-date profit & loss statement
- List of your major expense categories
- Questions written down (use the list above)

Retirement Account Options for Self-Employed

One of the biggest tax advantages of being self-employed: retirement savings! These reduce your taxable income while building wealth.

SEP IRA (Simplified Employee Pension)

- Contribution limit: Up to 25% of net self-employment income (max \$69,000)
- Deadline: Tax filing deadline (April 15, or October 15 with extension)
- Best for: Solo business owners with high income and no employees
- Pros: Simple to set up, high limits, flexible contributions
- Cons: Must contribute same % for employees (if you have them)

SOLO 401(k)

- Contribution limit: \$23,000 employee + 25% employer = up to \$69,000 total
- Deadline: Employee portion by Dec 31; employer portion by tax deadline
- Best for: Solo operators who want to maximize tax-deferred savings
- Pros: Highest limits, Roth option available, loan option
- Cons: More paperwork, must file Form 5500 if over \$250K in plan

SIMPLE IRA

- Contribution limit: \$16,000 employee + 3% employer match
- Best for: Small businesses with a few employees

- Pros: Lower admin costs than traditional 401(k)
- Cons: Lower limits than SEP or Solo 401(k)

EXAMPLE TAX SAVINGS:

Net profit: \$100,000
 SEP IRA contribution (25%): \$25,000
 Tax savings at 24% bracket: \$6,000 less in taxes!
 Plus: That \$25,000 grows tax-free until retirement

Business Insurance Guide

Insurance protects you when things go wrong. Here is what to consider:

GENERAL LIABILITY INSURANCE (\$400-\$1,500/year)

- Covers: Customer injuries, property damage, advertising claims
- Who needs it: Almost every business
- Get it from: NEXT Insurance, Hiscox, or a local agent

PROFESSIONAL LIABILITY / E&O (\$500-\$3,000/year)

- Covers: Mistakes, negligence claims, failure to deliver
- Who needs it: Consultants, coaches, designers, tech professionals
- Required by: Many clients before they will sign a contract

BUSINESS PROPERTY INSURANCE (\$300-\$1,000/year)

- Covers: Equipment theft/damage, inventory loss
- Who needs it: Anyone with expensive equipment or inventory

CYBER LIABILITY (\$500-\$2,000/year)

- Covers: Data breaches, hacking, client data exposure
- Who needs it: Anyone storing client data digitally

BUSINESS OWNERS POLICY (BOP)

- Bundles general liability + property insurance at a discount
- Usually 10-15% cheaper than buying separately
- Best starting point for most small businesses

Building Business Credit (Separate from Personal)

Business credit lets you borrow, lease, and get approved without using your personal credit. Here is how to build it:

STEP 1: ESTABLISH YOUR BUSINESS IDENTITY

- Form LLC and get EIN (you have already done this)
- Get a dedicated business phone number (Google Voice is free)
- Use business address on all registrations

- Create a professional website

STEP 2: GET A DUNS NUMBER (Free)

- Register at dnb.com (Dun & Bradstreet)
- This is your business credit 'social security number'
- Takes 30 days to process

STEP 3: OPEN NET-30 TRADE ACCOUNTS

- These vendors extend credit and report to business credit bureaus:
- Uline (shipping supplies) - Net 30
- Quill (office supplies) - Net 30
- Grainger (industrial supplies) - Net 30
- Strategic Network Solutions - Net 30

STEP 4: GET A BUSINESS CREDIT CARD

- After 3-6 months of trade credit history
- Apply for cards that report to business bureaus
- Keep utilization below 30%

STEP 5: MONITOR YOUR BUSINESS CREDIT

- Check Dun & Bradstreet PAYDEX score
- Check Experian Business credit report
- Check Equifax Small Business score
- Goal: PAYDEX score of 80+ (pay early = higher score)

TIMELINE: Building solid business credit takes 6-12 months of consistent on-time (or early) payments. Start the process now even if you do not need to borrow yet.

Startup Cost Estimator Worksheet

Use this to calculate your actual startup investment:

ONE-TIME STARTUP COSTS:

LLC filing fee: \$ _____

Registered agent (first year): \$ _____

Business license/permits: \$ _____

Website domain + hosting (first year): \$ _____

Logo/branding design: \$ _____

Equipment/tools needed: \$ _____

Initial inventory (if applicable): \$ _____

Professional photos/headshots: \$ _____

Business cards/marketing materials: \$ _____

Legal fees (contracts, etc.): \$ _____

TOTAL ONE-TIME COSTS: \$ _____

MONTHLY RECURRING COSTS:

Software subscriptions: \$ _____

Phone/internet (business portion): \$ _____

Insurance: \$ _____

Marketing/advertising: \$ _____

Bookkeeping/accounting: \$ _____

Rent/co-working (if applicable): \$ _____

Subscriptions and tools: \$ _____

Other monthly costs: \$ _____

TOTAL MONTHLY COSTS: \$ _____

x 3 months (runway buffer): \$ _____

TOTAL STARTUP BUDGET NEEDED:

(One-time + 3 months recurring): \$ _____

TYPICAL RANGES BY BUSINESS TYPE:

- Online service business (consulting, freelance): \$500-\$2,000
- E-commerce/product business: \$2,000-\$10,000
- Local service business (cleaning, landscaping): \$1,000-\$5,000
- Food/restaurant business: \$10,000-\$100,000+
- Professional practice (medical, legal): \$5,000-\$50,000

FUNDING OPTIONS:

- Personal savings (best - no debt, no investors)
- Side hustle while employed (fund business from job income)
- Business credit card (0% APR promotions for 12-18 months)
- SBA Microloan (up to \$50,000, lower interest than banks)
- Friends/family loan (get it in writing!)

BEST APPROACH: Start lean. Launch with the minimum viable budget.

Invest profits back into the business as you grow. Avoid debt in Year 1.

Tax-Smart Strategies for Year-End

In November-December each year, review these strategies with your CPA:

- ACCELERATE EXPENSES: Buy needed equipment/supplies before Dec 31
(Get the deduction this year instead of next year)
- DEFER INCOME: If possible, send January invoices instead of December
(Push income into next tax year if you are in a higher bracket)
- MAX OUT RETIREMENT: Contribute to SEP IRA or Solo 401(k)
(Reduce taxable income significantly)

- SECTION 179 DEDUCTION: Write off equipment purchases immediately
(Up to \$1,160,000 in 2024 instead of depreciating over years)
- CHARITABLE GIVING: Donate to charities through your business
(Only if structured as S-Corp; otherwise donate personally)
- REVIEW ENTITY STRUCTURE: Is it time to elect S-Corp?
(Must file by March 15 for the current year)
- PREPAY EXPENSES: Pay January rent, insurance, subscriptions early
(Deductible in the year paid if under 12 months)

YEAR-END TAX PLANNING WORKSHEET:

Projected net profit this year: \$ _____
Current tax bracket: _____ %
Expenses I can accelerate into this year: \$ _____
Retirement contribution planned: \$ _____
Estimated tax savings from strategies: \$ _____

FINAL CHECKLIST: YOUR COMPLETE LAUNCH SEQUENCE

Use this master checklist to track your progress. Check off each item as you complete it. Aim to finish within 30 days.

WEEK 1: LEGAL FOUNDATION

- ☐ Choose business structure (LLC recommended for most)
- ☐ Choose and verify business name availability
- ☐ File Articles of Organization with your state
- ☐ Apply for EIN at irs.gov (free, instant)
- ☐ Draft Operating Agreement
- ☐ Designate registered agent

WEEK 2: FINANCIAL SETUP

- ☐ Open business checking account
- ☐ Open separate savings account for taxes
- ☐ Set up bookkeeping system (Wave, spreadsheet, or QuickBooks)
- ☐ Create chart of accounts
- ☐ Set up invoicing system
- ☐ Mark quarterly tax dates on calendar

WEEK 3: MARKETING & SALES PREP

- ☐ Define your ideal customer
- ☐ Set your prices (use Chapter 5 calculators)
- ☐ Create basic online presence (website or social profile)
- ☐ Write your 'I help WHO achieve WHAT by HOW' statement
- ☐ Create 2-3 service packages or product listings
- ☐ Set up Google Business Profile (for local businesses)

WEEK 4: CONTRACTS & LAUNCH

- ☐ Create client service agreement (use Chapter 6 template)
- ☐ Set up contract signing tool (HelloSign, DocuSign)
- ☐ Research required licenses/permits and apply
- ☐ Get business insurance quote
- ☐ Make your list of 50 people for warm outreach
- ☐ Send first 10 outreach messages
- ☐ Land your first paying client!

ONGOING (Monthly)

- ☐ Complete end-of-month bookkeeping
- ☐ Run Profit & Loss statement
- ☐ Transfer 30% of profit to tax savings

- ☐ Complete monthly business review
- ☐ Follow up with leads and past clients
- ☐ Review and adjust marketing strategy

QUARTERLY

- ☐ Pay estimated taxes (Apr 15, Jun 15, Sep 15, Jan 15)
- ☐ Review year-to-date financials
- ☐ Adjust pricing if needed
- ☐ Review business goals and pivot if necessary

ANNUALLY

- ☐ File tax return (or hire CPA)
 - ☐ Send 1099s to contractors paid \$600+
 - ☐ Renew LLC annual report/filing
 - ☐ Renew business licenses
 - ☐ Review and raise prices
 - ☐ Max out retirement contributions
 - ☐ Year-end tax planning with CPA
-

CONGRATULATIONS!

You now have the complete framework to start and run your business the right way. Most new entrepreneurs spend months figuring this out through trial and error -- you just shortcut that process.

Your Immediate Next Steps:

- 1. Form your LLC (Chapter 1) -- this week
- 2. Open your business bank account (Chapter 2) -- this week
- 3. Set up your bookkeeping system (Chapter 4) -- this week
- 4. Complete the one-page business plan (Chapter 7) -- today
- 5. Send your first 10 outreach messages (Chapter 7) -- today

The businesses that succeed are the ones that take action.
You have the knowledge. Now go execute.

THE COMPLETE SMALL BUSINESS STARTER KIT
By Daniel Tesfamariam

For informational purposes only. Consult qualified legal and tax professionals for advice specific to your situation.

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APPENDIX: QUICK REFERENCE CARDS

Cut these out or bookmark this page for fast reference:

EMERGENCY NUMBERS & WEBSITES

- IRS Taxpayer Assistance: 1-800-829-1040
- IRS Online Account: irs.gov/account
- Pay Estimated Taxes: irs.gov/payments
- EIN Application: irs.gov/ein
- SBA (Small Business Administration): sba.gov
- SCORE (Free Mentoring): score.org
- USPTO (Trademark Search): uspto.gov
- Copyright Office: copyright.gov
- Your State's Secretary of State: _____
- Your State's Revenue Department: _____

MY BUSINESS QUICK FACTS (Fill In & Save)

LLC Name: _____
EIN: _____ - _____
State of Formation: _____
Formation Date: _____
Registered Agent: _____
Business Bank: _____ Account #: _____
Business Credit Card: _____ Last 4: _____
Tax Savings Account: _____ Account #: _____
Bookkeeping System: _____
CPA Name: _____ Phone: _____
Attorney Name: _____ Phone: _____
Insurance Provider: _____ Policy #: _____
Annual LLC Renewal Due Date: _____
Business License Renewal Date: _____

KEY NUMBERS TO REMEMBER

- Self-employment tax rate: 15.3%
- Tax savings set-aside: 30% of net profit
- Mileage rate (2024): \$0.67/mile
- Home office simplified: \$5/sq ft (max 300 sq ft = \$1,500)
- 1099 threshold: \$600 (must send 1099 to contractors paid \$600+)
- Receipt threshold: Keep ALL, but especially \$75+
- Startup cost deduction: Up to \$5,000 immediate

- SE tax deduction: 50% of SE tax is deductible
- Business gift limit: \$25 per person per year
- Quarterly tax penalty: Avoid by paying 100% of prior year tax
- Section 179 limit (2024): \$1,160,000
- SEP IRA limit: 25% of net SE income (max \$69,000)
- Solo 401k employee limit: \$23,000 (+ employer 25%)

You now have everything you need. Go build something great.